

Ohio Skilled Workforce Advancement Program (OSWAP)

Purpose

The Ohio Skilled Workforce Advancement Program (OSWAP) is designed to:

- Address critical labor shortages in high-demand sectors.
- Provide a viable alternative to college by encouraging vocational training and apprenticeships.
- Foster economic growth by supporting businesses that invest in skilled workers.
- Strengthen Ohio's economy through targeted job creation in underserved and rural areas.

By offering tax incentives for businesses to hire certified vocational workers and create registered apprenticeship programs, OSWAP aims to build a sustainable pipeline of skilled labor across Ohio's most vital industries.

Key Sectors Targeted

1. **Construction and Trades**
 - Electricians, plumbers, carpenters, HVAC technicians, etc.
2. **Healthcare**
 - Certified nursing assistants, medical assistants, lab technicians, home health aides, etc.
3. **Renewable Energy**
 - Solar panel installers, wind turbine technicians, energy efficiency auditors, etc.
4. **Manufacturing and Advanced Manufacturing**
 - Machinists, robotics technicians, CNC operators, welders, etc.

These sectors have been chosen for their growth potential, labor shortages, and alignment with Ohio's economic development goals.

Program Components

1. Tax Credits for Hiring Certified Vocational Workers

- **Eligibility:** Businesses in the target sectors that hire workers with state-approved vocational certifications.
- **Tax Credit Amount:**
 - **Base Credit:** 10% of the worker's first-year wages.
 - **Additional Credit:** 5% additional credit for businesses located in underserved or rural areas.
 - **Maximum Credit:** Capped at \$5,000 per employee per year.
- **Criteria:**
 - Workers must be full-time and have completed their vocational training within the past two years.
 - Businesses must retain workers for at least one year to claim the full tax credit.

2. Incentives for Offering Registered Apprenticeships

- **Apprenticeship Creation Credit:** Businesses receive a **\$2,000 tax credit** for each apprentice they hire and train.
 - Additional **\$1,000 credit** if the apprenticeship is in a rural or underserved area.
- **Wage Subsidy:** Up to 25% of an apprentice's wages are reimbursed during the apprenticeship, capped at two years.
- **Mentorship Training Credit:** Businesses receive a **\$1,500 tax credit** for each certified mentor who supervises apprentices, encouraging high-quality training environments.
- **Retention Bonus:** If the apprentice is retained for one year post-program, the business receives an additional **\$3,000 tax credit**.
- **Program Requirements:** Apprenticeships must be state-registered or affiliated with recognized trade organizations to ensure consistency and quality.

3. Upskilling and Retention Incentives

- **Retention Credit:** Employers who retain certified vocational workers or apprentices for at least two years receive a **\$2,000 tax credit per worker**.
- **Upskilling Credits:** Businesses that sponsor further education or training for certified workers can claim 10% of the cost of upskilling, up to \$2,000 per employee. This encourages long-term workforce development by fostering career growth.

4. Special Focus on Rural and Underserved Areas

- **Bonus Incentives:** Businesses operating in underserved or rural counties receive an extra 5% tax credit for hiring certified workers or establishing apprenticeships.
 - **Regional Hubs:** Partner with local workforce development centers and community colleges to create **Apprenticeship Hubs** in underserved regions. These hubs will connect businesses with training providers, simplifying the process of setting up apprenticeship programs.
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Implementation Plan

1. Public-Private Partnerships

- **Collaboration with Industry:** Partner with trade associations, industry groups, and community colleges to ensure that vocational training aligns with industry needs.
- **Employer Outreach:** Conduct a statewide campaign to educate businesses about OSWAP's benefits. This can include workshops, informational sessions, and partnerships with chambers of commerce.
- **Sector-Specific Engagement:** Tailor outreach efforts to target industries like construction, healthcare, renewable energy, and manufacturing, ensuring they understand how to access tax incentives and apprenticeship support.

2. Administration and Oversight

- **Application Portal:** Create a streamlined online portal where businesses can apply for OSWAP tax credits and apprenticeship incentives. The portal will also allow companies to track their apprentices' progress and manage documentation.
 - **Oversight and Reporting:** Establish a task force under Ohio's Department of Labor to oversee the program, track outcomes, and ensure compliance. The task force will also be responsible for evaluating program effectiveness and making recommendations for improvements.
 - **Data Collection:** Collect data on the number of vocational workers hired, apprenticeships created, and retention rates to measure the program's success. Periodic reports will help monitor economic impact and make necessary adjustments.
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Funding the Program

1. State Budget Allocation

- **Workforce Development Funds:** Allocate funds from Ohio's workforce development budget, re-prioritizing existing job training and economic development programs to support OSWAP's objectives.

2. Federal Grants

- **DOL and DOE Grants:** Apply for federal workforce development and apprenticeship grants from the U.S. Department of Labor (e.g., *Apprenticeship Building America* grant) and the Department of Energy (for renewable energy sectors). These grants can provide matching funds to supplement state resources.

3. Recreational Marijuana Tax Revenue

- **Recreational Marijuana Tax:** Dedicate a portion of revenue from Ohio's potential future recreational marijuana tax to fund OSWAP's wage subsidies and tax credits, particularly for businesses in rural and underserved areas.

4. Corporate Sponsorship

- **Business Contributions:** Encourage large employers and industry groups to co-fund apprenticeships and vocational programs through partnerships with the state. In exchange, these businesses could receive additional recognition or priority access to state grants.
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Anticipated Impact

1. Workforce Development

- **Closing the Skills Gap:** By targeting high-demand sectors and offering incentives for hiring and training, OSWAP will help close Ohio's skills gap, particularly in fields like renewable energy, healthcare, and advanced manufacturing.
- **Alternative Career Pathways:** OSWAP provides an alternative to traditional four-year degrees, allowing individuals to enter well-paying, skilled jobs through vocational training and apprenticeships.

2. Economic Growth

- **Job Creation:** OSWAP is expected to create thousands of new jobs, especially in rural and underserved regions. These jobs will have a ripple effect on the local economy by increasing consumer spending and stimulating demand for services.
- **Attracting New Businesses:** By offering competitive tax incentives, OSWAP will attract businesses to Ohio, especially in sectors like renewable energy and advanced manufacturing.

3. Increased Wages and Job Security

- **Higher Earnings:** Certified vocational workers and apprentices tend to earn higher wages than their under-skilled counterparts. OSWAP will help workers secure better-paying, more stable employment, reducing income inequality and boosting household income.
- **Long-Term Employment:** With retention and upskilling incentives, businesses are encouraged to invest in their workers' long-term development, fostering career growth and reducing turnover.

4. Regional Revitalization

- **Supporting Underserved Areas:** OSWAP's focus on rural and underserved regions will stimulate local economies, bringing new employment opportunities to areas that have struggled with high unemployment and limited job growth.
 - **Balanced Economic Development:** By targeting incentives toward underserved regions, OSWAP will promote more balanced economic growth across Ohio, ensuring that the benefits of workforce development are felt statewide.
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Conclusion

The **Ohio Skilled Workforce Advancement Program (OSWAP)** is a bold and innovative approach to addressing Ohio's workforce challenges. By incentivizing businesses to hire certified vocational workers and create apprenticeships, OSWAP will close skill gaps, boost economic growth, and create sustainable, well-paying jobs in Ohio's most critical sectors. The program's focus on rural and underserved areas ensures that its benefits are felt across the state, promoting balanced development and long-term prosperity for all Ohioans.